



Car & General (Kenya) Limited
Audited results for
the year ended 30 September 2012

19 December 2012

The Board of Directors of Car & General (Kenya) Limited is pleased to announce the audited results and financial statements for the year ended 30 September 2012

Consolidated statement of comprehensive income
for the year ended 30 September 2012

	2012 KSh 000	2011 KSh 000
Turnover	5,711,529	6,086,106
Profit before gain in fair value of investment property, interest and exchange losses/gains	289,723	326,978
Gain in fair value of investment property	196,750	292,578
Profit on sale of shares in subsidiary company	119,755	-
Interest expense	(261,716)	(186,652)
Exchange gains/(losses)	10,006	(4,978)
Profit before tax	354,518	427,926
Taxation charge	(87,962)	(139,220)
Profit for the year	266,556	288,706
Other comprehensive income		
Revaluation surplus on property	43,935	79,650
Deferred tax on revaluation surplus	(13,181)	(23,895)
Exchange difference on translation of foreign operations	(34,767)	27,430
	262,543	371,891
Profit attributable to –		
Owners of the parent	250,068	260,204
Non-controlling interests	16,488	28,502
	266,556	288,706
Total comprehensive income attributable to –		
Owners of the parent	246,055	343,389
Non-controlling interests	16,488	28,502
	262,543	371,891
	Sh	Sh
Earnings per share – basic and diluted	7.48	7.79
Dividend per share – proposed	0.55	0.55



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Condensed consolidated statement of financial position
at 30 September 2012

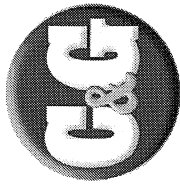
	2012 KSh 000	2011 KSh 000
Capital employed		
Shareholders' funds	2,090,003	1,862,329
Non-controlling interests	53,151	57,993
Non-current liabilities	633,783	536,670
	2,776,937	2,456,992

Represented by

Non-current assets	2,308,221	2,074,249
Net current assets	468,716	382,743
	2,776,937	2,456,992

Condensed consolidated cash flow statement
for the year ended 30 September 2011

	2012 KSh 000	2011 KSh 000
Cash generated from operations	286,730	168,761
Tax paid	(6,214)	(92,187)
Net cash from operating activities	280,516	76,574
Net cash generated from/(used in) investing activities	66,360	(538,996)
Net cash generated from/(used in) financing activities	(393,035)	544,090
Increase/(decrease) in cash and cash equivalents	(46,159)	81,668
At start of period	151,188	76,476
Effects of exchange rates on the balance of cash held in foreign operations	661	(6,956)
At end of period	105,690	151,188



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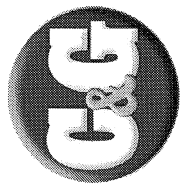
the year ended 30 September 2012

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**Consolidated statement of changes in equity
for the year ended 30 September 2012**

Year ended 30 September 2011

	Share capital KSh 000	Revaluation surplus KSh 000	Revenue reserve KSh 000	Translation (deficit)/ reserve KSh 000	Attributable to owners KSh 000	Non- controlling interests KSh 000	Total KSh 000
At 1 October 2010	111,398	204,143	1,240,475	(19,252)	1,536,764	19,142	1,555,906
Profit for the year	-	-	260,204	-	260,204	28,502	288,706
Revaluation surplus on property	-	79,650	-	-	79,650	-	79,650
Deferred tax on revaluation surplus	-	(23,895)	-	-	(23,895)	-	(23,895)
Exchange difference arising on translation of foreign operations	-	-	-	27,430	27,430	-	27,430
Total comprehensive income	-	55,755	260,204	27,430	343,389	28,502	371,891
Transfer of excess depreciation	-	(4,955)	4,955	-	-	-	-
Deferred tax on excess depreciation	-	1,487	(1,487)	-	-	-	-
Non-controlling interests arising on formation of new subsidiary during the year	-	-	-	-	-	3	3
Non-controlling interests arising on purchases of additional shareholding in subsidiary during the year	-	-	-	-	-	10,346	10,346
Issue of bonus share	55,699	-	(55,699)	-	-	-	-
Dividend paid – 2010	-	-	(17,824)	-	(17,824)	-	(17,824)
At 30 September 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322



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**Consolidated statement of changes in equity
for the year ended 30 September 2012**

	Attributable to owners of the parent					Non- controlling interests KSh 000	Total KSh 000
	Share capital KSh 000	Revaluation surplus KSh 000	Revenue reserve KSh 000	Translation (deficit)/ reserve KSh 000	Attributable to owners KSh 000		
Year ended 30 September 2012							
At 1 October 2011	167,097	256,430	1,430,624	8,178	1,862,329	57,993	1,920,322
Profit for the year	-	-	250,068	-	250,068	16,488	266,556
Revaluation surplus on property	-	43,935	-	-	43,935	-	43,935
Deferred tax on revaluation surplus	-	(13,181)	-	-	(13,181)	-	(13,181)
Exchange difference arising on translation of foreign operations	-	-	-	(34,767)	(34,767)	-	(34,767)
Total comprehensive income	-	30,754	250,068	(34,767)	246,055	16,488	262,543
Transfer of excess depreciation	-	(5,850)	5,850	-	-	-	-
Deferred tax on excess depreciation	-	1,755	(1,755)	-	-	-	-
Non-controlling interests share of subsidiary disposed of during the year	-	-	-	-	-	(21,330)	(21,330)
Dividend paid – 2011	-	-	(18,381)	-	(18,381)	-	(18,381)
At 30 September 2012	167,097	283,089	1,666,406	(26,589)	2,090,003	53,151	2,143,154



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Commentary

The year to September 2012 proved extremely challenging. The rapid and steep devaluation and subsequent revaluation of the Kenya Shilling against all major currencies had a significant negative impact on margins which reduced profitability. This reduction was exacerbated by the substantial increase in interest rates which increased funding costs and reduced demand for some of our products. As a result turnover declined marginally by 5% to Kshs 5.8 billion. Net profit at Kshs 266m also declined by 8% from Kshs 288m. These results are well below expectation largely due to unsatisfactory returns from our distribution business which faced extreme challenges.

The highlights of the financial year were the growth of our Cummins business; recognition by Cummins as the top distributor in Africa; the entry into the MRF tyre business for two wheelers in Kenya; the entry into the Doosan construction equipment business in Kenya; the growth of our aftermarket business in Kenya; our sustained market share in our three wheeler business particularly in Tanzania; the recovery of our Uganda business; the establishment of our branch in South Sudan; the improved understanding of our markets; the identification of tractor and forklift brands; the marginal expansion of our poultry business in Tanzania and, most significantly, the sale of Premier Power Products Limited in India which resulted in an exceptional profit.

The biggest challenges throughout the year were adverse foreign exchange movements and interest rate increases which led to over 20% declines in the market consumption of two wheelers and three wheelers.

Going forward, we foresee a challenging year ahead of us given the elections in Kenya. We also see greater competition in all keys markets which will result in both margin and market pressure. Key to success will be higher efficiency levels in all areas of our business, maintaining market share in core products and successfully developing our new products.

We are pleased to report that we have now defined our corporate social responsibility programs. We are focusing on two major initiatives – building water pans in arid areas and we built two in 2012 supporting 18000 local community members; our countrywide eye clinic program run through Lions Clubs which, in 2012, assisted 2,500 patients and sponsored over 200 cataract operations. We hope to intensify activity in 2013.

Final dividend

The Directors have resolved to recommend to shareholders at the Annual General Meeting to be held on 19 March 2013 –

That a Final Dividend for the year ended 30 September 2012 of KSh 18,380,683 (KSh 0.55 per share) be declared payable to those shareholders registered at close of business on 20 February 2012.



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Closure of register

Notice is hereby given that the Register of Members will be closed from 21 February 2013 to 27 February 2013, both dates inclusive, for the purpose of preparation of a dividend list. Documents for registration, which should be received by 4.30 pm on 20 February 2012, may be hand delivered or posted to the Registered Office at the following address:

New Cargen House, Lusaka Road, Nairobi, PO Box 20001 Nairobi City Square 00200.

Annual General Meeting

The Annual General Meeting of the Company will be held on 19 March 2012 at 12.00 noon.

NP Kothari
Secretary

19 December 2012
Nairobi